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Case Number: 25STCV30618 Hearing Date: September 8, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion to Tax Costs

The Motion to Tax Costs is granted in part and denied in part, and costs are taxed in the amount of \$1,392.15. Plaintiffs are awarded costs of \$2,590.99.

BACKGROUND

Plaintiffs Bryan Albright and Tracy Germain (Plaintiffs) filed this action against Mercedes-Benz USA, LLC (Defendant), alleging that a vehicle Defendant warranted was delivered with defects that Defendant's authorized repair facilities failed to correct.

The causes of action are: (1) Breach of Express Warranty; (2) Breach of Implied Warranty; and (3) Violation of Civil Code Section 1793.2.

Plaintiffs served a statutory offer to compromise under Code of Civil Procedure section 998, which Defendant accepted on February 3, 2026. Plaintiffs dismissed the action on March 24, 2026, and the Court retained jurisdiction under Code of Civil Procedure section 664.6. Plaintiffs then filed a Memorandum of Costs. The Court granted Plaintiffs' Motion to Enforce Settlement on July 1, 2026, and Plaintiffs' Motion for Attorney Fees is set for hearing on October 16, 2026.

Defendant filed a Motion to Tax Costs. Plaintiffs filed an Opposition.

LEGAL STANDARD

Code of Civil Procedure section 1033.5, subdivisions (a) and (b), list the items allowable and not allowable as costs. Subdivision (b) excludes the items it lists "except when expressly authorized by law." Costs "are allowable if incurred, whether or not paid," must be "reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation," and must be "reasonable in amount." (Code Civ. Proc., § 1033.5, subd. (c)(1)-(3).) "Items not mentioned in this section and items assessed upon application may be allowed or denied in the court's discretion." (Code Civ. Proc., § 1033.5, subd. (c)(4).)

A memorandum of costs must be "verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case." (Cal. Rules of Court, rule 3.1700(a)(1).)

"If items on their face appear to be proper charges, the verified memorandum of costs is prima facie evidence of their propriety, and the burden is on the party seeking to tax costs to show they were not reasonable or necessary. 'On the other hand, if items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs.'" (Jones v. Dumrichob (1998) 63 Cal.App.4th 1258, 1266.) "There is no requirement that copies of bills, invoices, statements, or any other such documents be attached to the memorandum. Only if the costs have been put in issue via a motion to tax costs must supporting documentation be submitted." (Id. at p. 1267.)

Civil Code section 1794, subdivision (d), part of the Song-Beverly Consumer Warranty Act (the Act), provides: "If the buyer prevails in an action under this section, the buyer shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action."

ANALYSIS

I. Costs and Expenses

Defendant contends that every item in the Memorandum of Costs is prohibited, unsupported, unnecessary, or unreasonable under Code of Civil Procedure section 1033.5. Plaintiffs argue that Civil Code section 1794,

subdivision (d), governs and extends to costs and expenses beyond the section 1033.5 list. Defendant replies that section 1794, subdivision (d), contains its own limitation and leaves each item to be tested for necessity and reasonableness.

Here, Plaintiffs are the prevailing party. Plaintiffs dismissed this action after Defendant accepted their statutory offer to pay \$85,000 and repurchase the vehicle. (Mot., at p. 1:3-6; Rotman Decl., ¶ 16.) “When a defendant pays money to a plaintiff in order to settle a case, the plaintiff obtains a ‘net monetary recovery,’ and a dismissal pursuant to such a settlement is not a dismissal ‘in [the defendant’s] favor.’” (DeSaulles v. Community Hospital of the Monterey Peninsula (2016) 62 Cal.4th 1140, 1144.) Plaintiffs are therefore entitled to costs as a matter of right. (Code Civ. Proc., § 1032, subd. (b).)

Settling parties remain free to allocate costs as they choose, “although they must do so in language specifically addressing such allocation.” (DeSaulles, supra, 62 Cal.4th at p. 1147.) These parties addressed costs, and they did so in Plaintiffs’ favor. Defendant agreed to pay “attorney fees, costs, and expenses actually and reasonably incurred in the commencement and prosecution of this action, including post-offer acceptance attorney fees, costs, and expenses incurred in performing on the settlement and/or completing the case pursuant to Civil Code section 1794(d) and Cal. Rule of Court 3.1700.” (Rotman Decl., Ex. 1, ¶ 7.) Defendant also agreed that Plaintiffs are deemed the prevailing party under section 1794, subdivision (d), for purposes of the fee motion. (Ibid.) The Court retained jurisdiction to enforce that agreement.

“Section 1794, subdivision (d), permits the prevailing buyer to recover both ‘costs’ and ‘expenses.’” (Jensen v. BMW of North America, Inc. (1995) 35 Cal.App.4th 112, 137, disapproved on another ground in Rodriguez v. FCA US, LLC (2024) 17 Cal.5th 189.) The court examined the language of the statute and concluded that “it is clear the Legislature intended the word ‘expenses’ to cover items not included in the detailed statutory definition of ‘costs.’” (Ibid.) The Legislature added that language in 1978, and an Assembly committee analysis explained that awards of “costs and expenses” would “cover such out-of-pocket expenses as filing fees, expert witness fees, marshall’s fees, etc.” (Id. at p. 138.)

However, section 1794, subdivision (d), allows only the sum “determined by the court to have been reasonably incurred by the buyer in connection with the

commencement and prosecution of such action.” A prevailing buyer must show that each claimed item was incurred and that incurring it was reasonable.

II. Filing Fees

Defendant contends that the \$555 in filing and motion fees should be taxed because Plaintiffs supplied no invoices and because the action and the two motions were unnecessary.

Plaintiffs argue that the fees are allowable and submit proof of payment.

Defendant replies that Plaintiffs must still show that each fee was incurred, necessary, and reasonable.

Filing and motion fees are allowable costs. (Code Civ. Proc., § 1033.5, subd. (a)(1).)

Here, Plaintiffs incurred all three fees. First, Plaintiffs paid \$435 to file the Complaint. (Rotman Decl., ¶ 5, Ex. 2.) Second, Plaintiffs paid \$60 to file the Motion to Enforce Settlement, which the Court granted on July 1, 2026. (Rotman Decl., ¶ 6, Ex. 3.) Finally, Plaintiffs incurred the \$60 fee for the Motion for Attorney Fees when they filed that motion on August 24, 2026. (Rotman Decl., ¶ 7, Ex. 4.)

Defendant’s objection to the fee for the Motion for Attorney Fees was well taken when Defendant made it. Plaintiffs claimed that fee in the Memorandum of Costs before they filed the motion it would pay for. However, Plaintiffs have since filed the motion, and the fee was incurred before this hearing.

Moreover, Plaintiffs reasonably incurred each fee. Defendant’s contention that Plaintiffs “should have never filed this lawsuit in the first place” contradicts the terms Defendant accepted, which reach the expenses of commencing the action. (Mot., at p. 2:23-24; Rotman Decl., Ex. 1, ¶ 7.) Even if the agreement permitted Defendant to dispute whether the action itself was reasonable, Defendant has not shown that their offer was unconditional and fully compensable, such that there was nothing to be gained by filing this action. Accordingly, the Motion to Tax Costs is denied as to the filing and motion fees.

III. Service of Process

Defendant contends that the \$95 in service costs should be taxed because Plaintiffs explained nothing and documented nothing, and because service by mail under Code of Civil Procedure section 415.40 would have cost less.

Plaintiffs argue that the cost is allowable and submit the proof of service.

Defendant replies that the question is whether personal service was necessary in this action, and that Plaintiffs, having mailed their pre-litigation demand, cannot show that it was.

Where service is made by a registered process server, “the recoverable cost is the amount actually incurred in effecting service, including, but not limited to, a stakeout or other means employed in locating the person to be served, unless those charges are successfully challenged by a party to the action.” (Code Civ. Proc., § 1033.5, subd. (a)(4)(B).)

Here, Plaintiffs incurred \$95 for personal service on Defendant's authorized agent for service of process. A process server personally served the summons and complaint on that agent. (Rotman Decl., ¶ 8, Ex. 5.) The proof of service identifies the server as a registered California process server working as an independent contractor through InfoTrack US, Inc., P000634, and gives the registration number and county. (Ibid.) Defendant does not dispute that the server was registered. Section 1033.5, subdivision (a)(4)(B), therefore allows the amount actually incurred.

Personal service was also reasonably necessary. Defendant is a Delaware limited liability company that maintains an agent for service of process in this state. Personal service on that agent is an ordinary means of serving a foreign limited liability company. Section 415.40 permits mail service on a person outside this state, but nothing in section 1033.5 obliges a plaintiff to choose the least expensive lawful method. Service by that means is complete only on the tenth day after mailing and depends on a return receipt. (Code Civ. Proc., § 415.40.)

That Plaintiffs mailed their pre-litigation repurchase demand does not establish that personal service of the summons was unnecessary. The demand and the summons are governed by different provisions. Code of Civil Procedure section 871.24, subdivision (d), prescribes how a consumer notifies a

manufacturer before suing, and the service statutes prescribe how a summons reaches a defendant.

Accordingly, the Motion to Tax Costs is denied as to the service of process costs.

IV. Court Reporter Fees

Defendant contends that the \$625 in court reporter fees should be taxed because Plaintiffs supplied no invoice and because Code of Civil Procedure section 1033.5, subdivision (b)(5), prohibits recovery for transcripts not ordered by the court.

Plaintiffs argue that the cost is allowable under section 1033.5, subdivision (a)(11), and under the Act, and they support it with an invoice from a reporter retained for a fee motion hearing in another action.

Defendant replies that the cost has not been incurred.

Costs “are allowable if incurred, whether or not paid.” (Code Civ. Proc., § 1033.5, subd. (c)(1).)

Here, Plaintiffs have not incurred the reporter fee. The hearing on the Motion for Attorney Fees is set for October 16, 2026, and Plaintiffs call the charge “anticipated” and “estimated.” (Opp., at p. 6:3-5.) The invoice they submit is dated August 30, 2023, and bills a court appearance in an unrelated action. (Rotman Decl., ¶ 9, Ex. 6.) An estimate drawn from another matter establishes neither that this cost has been incurred nor what it will be.

Plaintiffs alternatively ask the Court to defer ruling on this item or to continue the hearing on this Motion to the date of the fee hearing. (Opp., at p. 6:7-9.) The Court declines both requests. A memorandum of costs claims what the claiming party has incurred when the memorandum is filed, and a motion to tax tests the items that memorandum claims. Waiting until October would not change what Plaintiffs claimed in June.

Rule 3.1700 also limits how long a cost claim stays open. Absent the parties’ agreement, the Court may extend the time for serving and filing a memorandum of costs by no more than 30 days. (Cal. Rules of Court, rule 3.1700(b)(3).) Plaintiffs ask the Court to hold a cost claim open for a charge

arising 114 days after they filed their memorandum.

Plaintiffs' own arrangements produced the timing issue they now ask the Court to accommodate. Plaintiffs drafted the offer Defendant accepted. That offer waives any deadline for Plaintiffs' fee motion, and it preserves the deadlines that California Rules of Court, rule 3.1700, sets for the recovery of costs and expenses. (Rotman Decl., Ex. 1, ¶ 7.) Plaintiffs then dismissed the action on March 24, 2026, which started the period that rule allows. Plaintiffs noticed the fee motion for October 16, 2026, a date outside the 180-day outer limit of rule 3.1700(a)(1).

Accordingly, the Motion to Tax Costs is granted as to the court reporter fees, and \$625 is taxed.

V. Electronic Filing

Defendant contends that the \$364.50 in electronic filing fees should be taxed because Code of Civil Procedure section 1033.5, subdivision (a)(14), covers only electronic filing a court requires or orders, because the Memorandum of Costs identifies no filings, and because Plaintiffs documented nothing.

Plaintiffs argue that this Court requires electronic filing, and they submit an itemization and the vendor invoices.

Defendant replies that several of the entries are projections and that Plaintiffs have not shown the rest were necessary.

Fees for the electronic filing or service of documents through an electronic filing service provider are allowable "if a court requires or orders electronic filing or service of documents." (Code Civ. Proc., § 1033.5, subd. (a)(14).) A court may require represented parties to file and serve documents electronically. (Cal. Rules of Court, rule 2.253(b).)

Here, this Court requires represented litigants to file civil documents electronically. (Rotman Decl., ¶ 11, Ex. 8.) The fees therefore fall within section 1033.5, subdivision (a)(14). Plaintiffs' itemization lists 15 entries totaling \$364.50. The vendor invoices, the vendor's order records, and Plaintiffs' case management records document the charges. (Rotman Decl., ¶¶ 7, 10, Exs. 4, 7.)

Plaintiffs have incurred 11 of those entries, the last of them the electronic filing of the Opposition on August 25, 2026. (Rotman Decl., ¶¶ 3, 7, 10, Exs. 4, 7.) Each of the 11 corresponds by document, and within days by date, to a paper that the register of actions shows was filed. Those papers are the pleading that commenced the action, the notices and proofs of service that the rules require, and the papers by which Plaintiffs dismissed the action, enforced the settlement, and claim and defend their costs and fees. Each was necessary to conduct or to complete this action, and this Court required each to be filed electronically.

Two of the entries, \$49.40 in all, are the fees to file the Memorandum of Costs and the Opposition to this Motion. The accepted offer covers expenses incurred in “completing the case.” (Rotman Decl., Ex. 1, ¶ 7.) Those expenses include the papers by which Plaintiffs claim and defend the costs that the offer promised them.

Plaintiffs mark the remaining 4 entries as anticipated and date them from October 9 through December 31, 2026. (Rotman Decl., Ex. 7.) Plaintiffs concede that those entries “have not yet been incurred.” (Opp., at p. 6:18-19.) Each is \$24.70, for a total of \$98.80.

Accordingly, the Motion to Tax Costs is granted in part as to the electronic filing fees, and \$98.80 is taxed.

VI. Research

Defendant contends that the \$668.35 in research charges should be taxed because legal research is not recoverable under Code of Civil Procedure section 1033.5 and because Plaintiffs documented nothing.

Plaintiffs argue that the charges are recoverable under the Act because they were incurred in the commencement and prosecution of this action, and they submit the vendor invoices.

Defendant replies that section 1794, subdivision (d), does not convert attorney work or overhead into a separately recoverable charge, and that the invoices identify only a client and an amount.

“Fees for legal research, computer or otherwise, may not be recovered

under section 1033.5.” (Ladas v.

California State Auto. Assn. (1993) 19 Cal.App.4th 761, 776.) The charges are therefore recoverable only if they are an “expense” within Civil Code section 1794, subdivision (d).

The Court concludes they are not. Rotman states that counsel researched Code of Civil Procedure sections 871.20 through 871.30 after this action was filed. (Rotman Decl., ¶ 12.) Those sections had taken effect before Plaintiffs filed. (Code Civ. Proc., §§ 871.24, subd. (k), 871.26, subd. (l).) Generic research into the area of law counsel practices is overhead not chargeable to any one case.

Accordingly, the Motion to Tax Costs is granted as to the research charges, and \$668.35 is taxed.

VII. Mediation

Defendant contends that the \$1,668.75 in mediation charges should be taxed because the Court never ordered mediation, because the parties agreed to mediate without discussing a fee split or reserving a right to shift the fee, and because Plaintiffs documented nothing.

Mediation charges appear on neither the allowable list nor the prohibited list of Code of Civil Procedure section 1033.5. The Court may therefore allow them in its discretion. (Code Civ. Proc., § 1033.5, subd. (c)(4).) “We conclude mediation fees incurred for mediation that was not ordered by the court are not categorically nonrecoverable as ‘not reasonably necessary to the conduct of litigation.’ The question whether mediation fees should be awarded as costs in a particular matter must be determined based on the facts and circumstances of the particular action.” (Berkeley Cement, Inc. v. Regents of University of California (2019) 30 Cal.App.5th 1133, 1143.)

Both parties cite Gibson v. Bobroff

(1996) 49 Cal.App.4th 1202. The court there held “that when an unsuccessful mediation has been court-ordered, reasonably necessary expenses incident thereto may, in the sound discretion of the trial court, be awarded after trial to a prevailing party.” (Id. at p. 1209.) The mediation in Gibson was court-ordered, and the opinion expressly reserved the question of a voluntary mediation. (Id. at p. 1209, fn. 7.) The court in Berkeley

Cement resolved that question, rejecting any bright line rule. Neither decision bars an award here.

Here, the mediation charges were reasonably necessary to the conduct of this action rather than merely convenient to its preparation. Both sides agreed to mediate and selected a neutral together. They held two sessions, on January 14 and January 26, 2026, and the mediator billed each side for half. (White Decl., ¶ 5; White Reply Decl., ¶ 3, Ex. B; Rotman Decl., ¶ 13, Ex. 10.) The action then resolved 8 days after the second session. A mediation that both parties chose and that produced the settlement resolving the action was necessary to conducting this litigation to its end.

Defendant's reliance on *Anthony v.*

Li (2020) 47 Cal.App.5th 816 is misplaced. The parties there signed a written mediation agreement providing that they would "divide the professional fees and additional fees" equally and that each would pay its share in advance. (Id. at p. 819.) The Court of Appeal affirmed an order taxing the prevailing party's half, holding that "[b]ecause the parties agreed to share mediation and court reporter fees equally, without providing for the later recovery of those shared fees by a prevailing party, we see no error or abuse of discretion in the trial court's taxing those fees as items of costs." (Id. at p. 825.) The allocation there appeared in a writing the parties signed.

Similarly, in *Carr Business Enterprises, Inc. v. City of Chowchilla* (2008) 166 Cal.App.4th 25, the parties' stipulation for a general reference provided that "compensation for the referee shall be paid 50% by [the city] and 50% by [the company]." (Id. at p. 27.) The Court of Appeal held that section 1033.5, subdivision (a)(13), "does not authorize the trial court to ignore a valid contractual agreement." (Id. at p. 30.)

In *Howard v. American National Fire Ins.*

Co. (2010) 187 Cal.App.4th 498, 540, the parties stipulated to divide equally the fees of a privately compensated judge pro tempore. The court held the award of those fees error. In each, the court enforced an allocation the parties themselves wrote.

Defendant identifies no comparable writing here. On the contrary, White states that "[t]he parties did not discuss any fee split with respect to the mediation." (White Decl., ¶ 5.) Defendant repeats in the Motion that the parties "agreed to mediate but did not discuss the fee split for the mediation." (Mot., at p. 5:9-10.) The equal division came from the mediator's

confirmation letter, which stated that the fee “will be equally divided between the parties.” (White Reply Decl., ¶ 3, Ex. B.)

Defendant’s evidence shows that the mediator stated the fee terms to both sides and invoiced each side separately. Plaintiffs paid the invoices addressed to them. (Rotman Decl., ¶ 3.) That payment performed an obligation to the mediator. It was not a promise to Defendant about who would ultimately bear the charge.

Accordingly, the Motion to Tax Costs is denied as to the mediation charges.

VIII. Postage and Printing

Defendant contends that the \$6.04 in postage and the \$0.50 printing charge are prohibited by Code of Civil Procedure section 1033.5, subdivision (b)(3), and unsupported.

Plaintiffs argue that they incurred both charges to print and mail the pre-litigation repurchase demand, and they submit the envelope.

Defendant replies that Code of Civil Procedure section 871.24, subdivision (d), permits notice by email, that postage and printing are overhead, and that Plaintiffs identify no law expressly authorizing the charges.

Section 1033.5, subdivision (b)(3), excludes “[p]ostage, telephone, and photocopying charges, except for exhibits.” As discussed above, Civil Code section 1794, subdivision (d), is the express authorization that subdivision (b) requires. The court in *Ladas* held that “[s]ection 1033.5, subdivision (b)(3) forbids reimbursement of expenses for postage, telephone and photocopying.” (*Ladas*, *supra*, 19 Cal.App.4th at p. 775.) The party claiming costs there invoked no statute authorizing an award of expenses. Therefore, no statute displaced the exclusion there.

The court in *Jensen* applied the introductory clause of subdivision (b) to paragraph (1). That clause draws no distinction among the paragraphs that subdivision (b) governs. The committee analysis quoted in *Jensen* names expert witness fees, an item that paragraph (1) excludes. The Legislature therefore understood “expenses” to include charges that the cost statutes place

outside allowable costs. (Jensen, *supra*, 35 Cal.App.4th at p. 138.) Nothing in the Act confines that authorization to paragraph (1).

Here, Plaintiffs incurred \$6.04 in postage and \$0.50 in printing to send Defendant a written repurchase demand before filing suit. (Rotman Decl., ¶¶ 14-15, Ex. 11; White Decl., ¶ 2, Ex. A.) Defendant received the demand on August 27, 2025, approved a repurchase on September 17, 2025, and sent a revised repurchase offer and release on October 20, 2025. (White Decl., ¶ 3.) The demand opened the negotiation that preceded this action. Plaintiffs therefore reasonably incurred the cost of sending it.

In reply, Defendant argues that Code of Civil Procedure section 871.24, subdivision (d), permits notice by email. Notice may be sent “either by email to the email address prominently displayed on the manufacturer’s website for this purpose or by certified or registered mail, return receipt requested.” (Code Civ. Proc., § 871.24, subd. (d).)

Rotman states that the \$6.04 covered first-class and certified mail, and the envelope bears a meter stamp in that amount. (Rotman Decl., ¶ 14, Ex. 11.) Defendant offers evidence that much of the pre-litigation correspondence went by email. That evidence does not establish that Defendant maintained the address that the subdivision describes. (White Reply Decl., ¶ 2.)

Defendant also argues that postage and printing are overhead, relying on *Bussey*. The test there allowed counsel’s disbursements only where they are ordinarily billed to a client and fall outside the overhead component of the hourly rate. (*Bussey*, *supra*, 225 Cal.App.3d at pp. 1163-1164.) That test construes a contractual fee provision under Code of Civil Procedure section 1033.5, subdivision (a)(10). Section 1794, subdivision (d), does not import it. In any event, Rotman states that the firm records printer charges to a matter number at \$0.25 per page, and that the \$0.50 claimed is the cost of printing the single-page demand and its envelope. (Rotman Decl., ¶ 15.)

Accordingly, the Motion to Tax Costs is denied as to the postage and printing charges.

IX. Total Costs

Plaintiffs’ Memorandum of Costs claims \$3,983.14. The Court taxes \$625 in

court reporter fees, \$98.80 in electronic filing fees, and \$668.35 in research charges, for a total of \$1,392.15. The Court awards Plaintiffs the remaining \$2,590.99.

CONCLUSION

The Motion to Tax Costs is granted in part and denied in part, and costs are taxed in the amount of \$1,392.15. Plaintiffs are awarded costs of \$2,590.99.